

Loan Products & Rates Handbook

Retail Lending Division — 2024 Edition

Reference: LPH-2024-v1.0 | Version: 1.0 | Confidential

1. Product catalogue

Loan type	Min amount	Max amount	Rate (p.a.)	Max tenure
Home loan	Rs. 10 lakh	Rs. 5 crore	8.50%	30 years
Personal loan	Rs. 50,000	Rs. 15 lakh	11.00%	5 years
Auto loan	Rs. 1 lakh	Rs. 50 lakh	9.25%	7 years
Education loan	Rs. 1 lakh	Rs. 40 lakh	9.00%	15 years
Gold loan	Rs. 10,000	Rs. 1 crore	10.50%	3 years
LAP	Rs. 10 lakh	Rs. 10 crore	9.75%	20 years

LAP = Loan Against Property. Rates are floating, linked to repo rate.

2. Eligibility criteria

Home loan

- Minimum age: 21 years. Maximum age at loan maturity: 70 years.
- Minimum net monthly income: Rs. 30,000 (salaried) or Rs. 3 lakh p.a. (self-employed).
- CIBIL score ≥ 700 required. Score ≥ 750 qualifies for preferential rate.
- Property must be legally clear with no encumbrances.

Personal loan

- Minimum age: 23 years. Maximum age: 60 years at maturity.
- Minimum net monthly income: Rs. 25,000.
- Minimum 2 years employment with current employer.
- CIBIL score ≥ 720 . Existing customers with clean repayment history: 680.
- Instant approval (same-day disbursement) for pre-approved existing customers.

3. EMI calculation

Monthly EMI is calculated using the standard reducing-balance formula:

$$EMI = P \times r \times (1+r)^n / ((1+r)^n - 1)$$

Where P = principal, r = monthly interest rate (annual rate / 12 / 100), n = tenure in months.

Illustrative EMI table — Home loan at 8.50% p.a.

Loan amount	10 years	15 years	20 years	30 years
Rs. 20 lakh	Rs. 24,797	Rs. 19,706	Rs. 17,356	Rs. 15,368
Rs. 30 lakh	Rs. 37,196	Rs. 29,559	Rs. 26,035	Rs. 23,052
Rs. 50 lakh	Rs. 61,993	Rs. 49,264	Rs. 43,391	Rs. 38,421
Rs. 75 lakh	Rs. 92,990	Rs. 73,897	Rs. 65,087	Rs. 57,631

4. Processing fees & charges

Charge type	Amount
Processing fee	0.50% of loan amount (min Rs. 2,500, max Rs. 15,000)
Prepayment — floating	Nil (as per RBI circular)
Prepayment — fixed rate	2% of outstanding amount
Late payment penalty	2% per month on overdue EMI
CIBIL report charge	Rs. 250 per report pull
Legal/technical fee	At actuals (home/LAP only)

5. Overdue & NPA classification

Days overdue	Classification	Action
1–30 days	Special mention (SMA-0)	SMS reminder
31–60 days	SMA-1	Call from collections team
61–90 days	SMA-2	Field visit + legal notice
> 90 days	NPA	Recovery proceedings initiated